



Digital Bridge: Positioning Pakistan as Japan IT Partner

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SYNOPSIS

Japan has been in the midst of a severe demographic decline for nearly two decades. The record low birth rate has led to net population loss, resulting in a widespread worker shortage across all economic sectors, including the IT sector. Pakistan can play a meaningful role in supporting Japan on this issue. Its growing IT sector and demographic advantage in the form of skilled labour surplus can fill the gap of Japan's labour shortage.

COMMENTARY

Japan is a major player in the global IT sector, valued at [\\$324 billion](#) in 2023 and projected to reach \$470 billion in 2028. However, this growth is stymied by a major labour crisis. The impacts of the pandemic were worsened by Japan's severe demographic decline, one of the worst in the world. Nevertheless, this provides Pakistan with a window of opportunity. Its growing IT sector and demographic advantage in the form of skilled labour surplus can fill the gap of Japan's labour shortage.

JAPAN'S WORKER SHORTAGE

Japan has been in the midst of a severe demographic decline for nearly two decades. The record low birth rate has led to net population loss, resulting in a widespread worker shortage across all economic sectors, including the IT sector. The country witnesses a shortage of [220,000](#) IT workers currently, which is projected to reach 3.26 million workers by 2040. Japan acknowledges this as a matter of serious concern, and it has already introduced policies to attract foreign workers having expertise in IT. India has already taken some steps to benefit from this opportunity. Both countries have signed an [Action Plan](#) this year under which 500,000 Indian workers will move to Japan over the next five years.

Pakistan has more than [300,000 IT professionals](#) presently, and it produces more than 20,000 IT engineers every year. While the country's current unemployment rate stands at [6.3%](#). In this regard, Japan's labour demand in the IT sector provides Pakistan with an opportunity to fill the shortage gap. In Japan, professionals with technical expertise

earn more than [12.5 million yen](#) on an annual basis. Thus, sending Pakistani IT professionals to Japan would contribute to a greater inflow of remittances to Pakistan. Moreover, it would lead to the growth of a skilled Pakistani diaspora in Japan, which is currently dominated by unskilled professionals or auto traders.

PAKISTAN'S CAPABILITIES

Japan also realises Pakistan's potentials in IT sector. Japan International Cooperation Agency (JICA) recognised Pakistan as the "[next ICT powerhouse](#)" and a good partner for Japanese IT companies. The JICA report recognised Pakistan's growing skilled demographic dividend and a thriving ICT market. It also highlighted the fact that Pakistan has the highest software export growth rate in South Asia at 19.5%, more than double that of India. This report was further substantiated by the "[IT Skills Survey 2021](#)" conducted by the International Development Center of Japan, which also noted that the skill level of Pakistani engineers is high.

JAPAN'S IMMIGRATION PATHWAYS

Japan has several pathways to facilitate the entry of foreign talent into its economic sector. The Highly Skilled Professional (HSP) Visa, with some eligibility criteria, is the primary route for the majority of foreign workers to join Japan's markets. The certifications, such as PhilNITS IT Passport Exam, also contribute additional points for the HSP application. One of the major benefits of this scheme is that it grants expedited access to permanent residency and allows workers to bring their families to Japan.

Gijinkoku, or the Engineer/Specialist in Humanities/International Services, is another visa scheme that is intended for foreign software engineers and IT professionals. It has the same basic educational and work requirements as the HSP Visa. One of the attractions of this scheme is that it does not differentiate in salaries between foreign workers and Japanese employees.

However, the poor state of Pakistan's human capital development is an impediment. The government must overcome this by establishing initiatives to provide its citizens with credentials of internationally recognised standards. These can include Microsoft Azure certifications or the PhilNITS IT Passport Exam, which is Japan-specific. An additional measure in this regard can be to align the skill standards for Pakistani IT professionals with those set by Japan's Ministry of Economy, Trade and Industry.

CHALLENGES

Pakistan's increased access to the Japanese market is dependent on the government taking certain practical measures to improve the skillset of Pakistani IT professionals. One of the core constraints for Pakistanis is their inability to speak Japanese. Many technical positions in Japan require the Japanese Language Proficiency Test (JLPT) N2 or higher. While some companies may conditionally accept N3 level but it is conditional on higher technical expertise or work experience. Thus, Pakistan must initiate learning initiatives aimed at achieving JLPT N2 & N1 certifications for IT graduates. Whilst

Pakistan already has numerous institutions offering courses for the Japanese language, such as the Department of Japanese in the National University of Modern Languages (NUML), more work can be done to improve Japanese literacy in Pakistan.

RECOMMENDATIONS

Additionally, Pakistan and Japan signed an MoU in 2019 to grant access to specialists in specific industrial fields, even without prior training. The Specified Skilled Worker (SSW) addresses labour shortages in 14 fields across various sectors. These include fields such as manufacturing, construction, accommodation and agriculture. Although this program does not include the IT sector but it could be made part of it in future. Pakistan should also propose an amendment to the SSW framework, increasing its scope to include the IT sector. This should be aimed at providing Pakistani IT graduates with fast-track access to Japanese companies. In addition to skilled individuals, Pakistan can also encourage its IT companies to invest in Japan. Pakistan firms should be encouraged to utilise the Japan External Trade Organisation's (JETRO) infrastructure, which facilitates the entry of foreign companies into the Japanese markets.

CONCLUSION

To conclude, the Japanese IT sector offers an unprecedented opportunity for Pakistan. To realise its full potential, it can move away from sending low-value service-oriented workers to technical experts in the Japanese labour market. It has a huge demographic of skilled professionals needed for the Japanese IT sector. Thus, this would help Japan to diversify its labour supply and provide Pakistan with an opportunity to deal with the problems of domestic job shortage and earn remittances to support its fragile economy.